NEW ENGLAND CONSTRUCTION QUARTERLY

COMPILED APRIL 2026

The quarter when tariff math caught up, the lab boom ended, and New Hampshire started winning.

/// Q1 IN NUMBERS

Three patterns reset the map.

FOUR FIGURES, THREE SHIFTS.

PATTERN I · MASSACHUSETTS

$4.8B

BOSTON APPROVALS

2025 total — roughly half of 2024 and the lowest in a decade.

PATTERN II · TARIFFS

12.6%

INPUT PRICES

Annualized nonresidential rise in the first two months of 2026.

PATTERN I · NEW HAMPSHIRE

5,822

NH HOUSING PERMITS

Units permitted in 2025 — a 20-year high, reported during Q1.

PATTERN III · LIFE SCIENCES

~28%

BOSTON LAB VACANCY

Metro life-sciences vacancy near year-end 2025; ~17M SF available.

FIELD NOTE PATTERN I · MASSACHUSETTS

The approvals collapse became visible.

Boston's planning board approved $4.8 billion of development in 2025, down roughly half from the prior year and the lowest total in a decade. Statewide, Boston Indicators reported Massachusetts building permits down 44% from the 2021 peak.

The pipeline entering Q1 was already thin. The quarter did not produce a reversal.

WHY IT MATTERS

Massachusetts-only builders should plan for 2026 volume below 2024, even in favored sectors. Financing costs did not reset, and policy layers are now part of the underwriting stack.

SOURCE Boston Globe, WBUR, Boston Indicators, Banker & Tradesman

FIELD NOTE PATTERN I · NEW HAMPSHIRE

The permits boom moved north.

New Hampshire municipalities issued permits for 5,822 housing units in 2025, the highest annual total in two decades. The state has added roughly 25,688 units since 2020, with growth concentrated in the Southern Tier and Seacoast.

Twenty-three towns and cities accounted for 63% of permits while representing 43.5% of population.

WHY IT MATTERS

This is present reallocation, not a future trend. GCs, A/E firms, and developers that can work across the MA-NH border are absorbing demand that once stayed south.

SOURCE NHPR, Manchester Ink Link, Concord Monitor, Banker & Tradesman

FIELD NOTE PATTERN II · TARIFFS

Repricing became the base case.

Nonresidential construction input prices rose at a 12.6% annualized rate in the first two months of 2026, per ENR's 1Q cost report. Steel, aluminum, and copper products carry 50% tariffs; derivatives carry 25%; softwood lumber sits at 10% with various derivatives at 25%.

AGC found 70% of contractors affected by actual or proposed tariffs; 40% raised bid prices.

WHY IT MATTERS

The February Supreme Court decision did not remove the main construction exposure. Escalation clauses, indexed resets, and early procurement on steel-heavy scopes are now table stakes.

SOURCE ENR, AGC Tariff Resource Center, Utility Dive, AGC & Sage

FIELD NOTE PATTERN III · LIFE SCIENCES

The lab market bifurcated.

Greater Boston life-sciences vacancy closed 2025 near 28%, with roughly 17M SF available. Cambridge held steadier at about 22%; suburban inventory hit 30.5%. In Somerville, 74 Middlesex Avenue remains entirely vacant after delivering 465,000 SF in early 2025.

Roche tripled its Harvard ERC commitment to 100,000 SF while speculative inventory sat.

WHY IT MATTERS

Lab work is clustering around anchor-let campuses and conversion projects. Net-new speculative lab is no longer the default growth market for construction teams.

SOURCE Cambridge Day, Harvard Crimson, Bloomberg, Boston.gov

FIELD NOTE INFRASTRUCTURE · OFFSHORE WIND

Vineyard Wind reached completion.

On March 13, crews installed the final blades on Vineyard Wind 1's sixty-second turbine. The 800 MW project, fifteen miles south of Martha's Vineyard, became the first large-scale offshore wind project completed in the United States after a Q1 legal fight over a federal stop-work order.

Sixty-two GE Haliade-X turbines and 186 blades are now in place.

WHY IT MATTERS

For New England's energy and construction economies, the project proves a large offshore wind build can physically finish in the current federal environment. It does not prove the next project gets the same path.

SOURCE WBUR, Vineyard Gazette, Martha's Vineyard Times, NWF

FIELD NOTE INSTITUTIONAL · HEALTHCARE

Healthcare entered a megacycle.

Dana-Farber and BIDMC began site-preparation deconstruction on a roughly $1.6B inpatient cancer hospital at One Joslin Place. In the same quarter, Mass General Brigham accepted a $35M gift toward the $1.9B, 2M SF Ragon Building on its Cambridge Street campus.

Longwood and Cambridge Street are institutional-owner construction pipelines running through the end of the decade.

WHY IT MATTERS

Healthcare is one of the few sectors where large owners are committing fresh capital into a high-rate environment. For hospital-capable GCs, pipeline visibility is unusually long.

SOURCE Dana-Farber / BIDMC, Boston Globe, MGH Giving

/// PROJECTS MOVING

01

ALLSTON · MULTIFAMILY

Mill Creek closed $95M for 240 units.

Santander financed the Western Avenue project; 17% of units are income-restricted.

02

SOUTH BOSTON · MIXED USE

HRP moved 776 Summer toward housing first.

The 636-unit residential portion is ahead of 860,000 SF of approved office and lab.

03

SOUTHERN NH · INFRASTRUCTURE

I-93 and Everett Turnpike work carry civil volume.

Widening, bridge, tolling, and interchange work runs into 2027 and 2028.

04

MANCHESTER · AFFORDABLE HOUSING

Lincoln Avenue Capital is delivering 142 units.

PC Construction is completing the former police department site as a two-building affordable project.

/// LOOKING AHEAD

Four Q2 signals worth watching.

01 **Section 122 tariff expiration in July.**
Whether it lapses, extends, or gets replaced will reset procurement strategy across active bids.

02 **HRP's 776 Summer vertical start.**
The site is the clearest Q2 test of housing-first repositioning in Boston.

03 **Longwood cancer hospital site logistics.**
Deconstruction runs through November before foundation and underground work begin.

04 **Vineyard Wind commissioning and follow-on projects.**
Construction is complete; the next test is whether Commonwealth and SouthCoast advance.

Q1 MOVED THE MAP.

Capital is flowing to different places, on different terms. Q1 favored firms that adapt procurement, geography, and sector mix.

→ FOLLOW FOR THE Q2 REVIEW